

US trade policies and the activity of US multinational enterprises in the euro area

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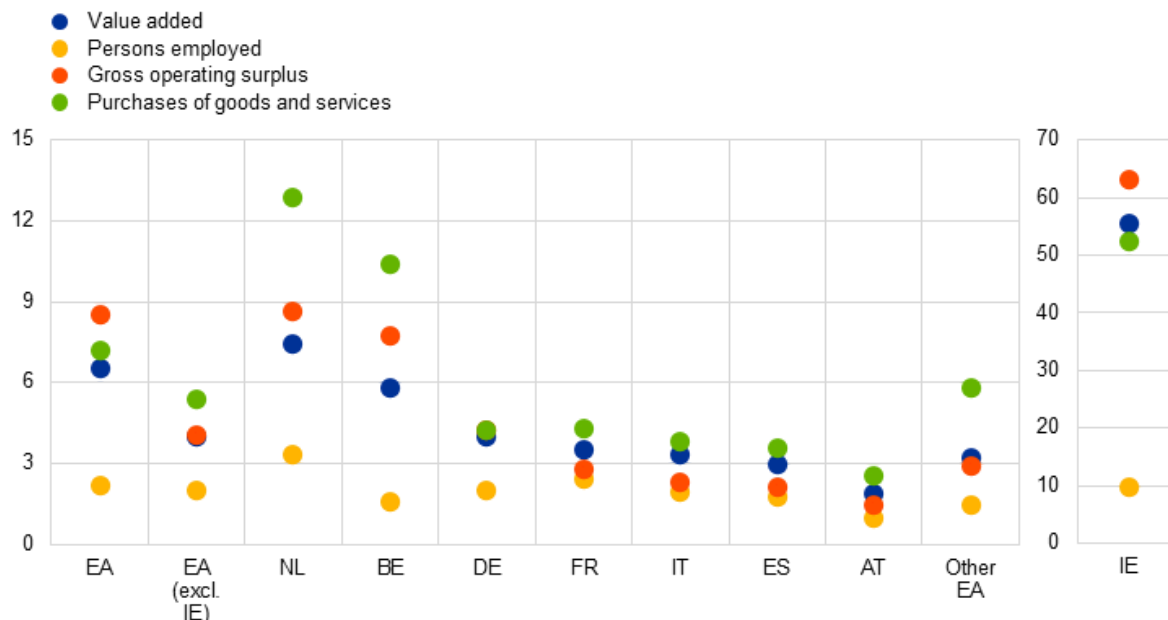
Affiliates of multinational enterprises (MNEs) headquartered in the United States contribute substantially to euro area economic activity. Hence, ongoing trade tensions have potentially important implications for their operations. US MNEs serve the euro area market either by exporting goods and services directly to euro area customers or via affiliates located in the euro area.

^[1] These affiliates may trade with the United States and third markets, so ongoing trade tensions could affect US MNEs in the euro area via higher tariffs and disruptions to intra-firm trade, as well as via any resulting changes in tax planning strategies. Euro area affiliates of US MNEs account for over 5% of euro area value added, gross operating surplus and purchases of goods and services, and 2% of persons employed, with substantially higher shares for Ireland (Chart A).^[2]

Chart A

Activity of US multinational enterprises in the euro area

(proportion of US-controlled affiliates in country's total; 2022)



Sources: Eurostat foreign affiliates statistics (FATS) and ECB staff calculations.

Notes: "EA" stands for "euro area". "Other EA" comprises all euro area countries with less than 2% of total euro area gross value added. Data for Cyprus and Portugal are not included as they are not available for all the variables shown.

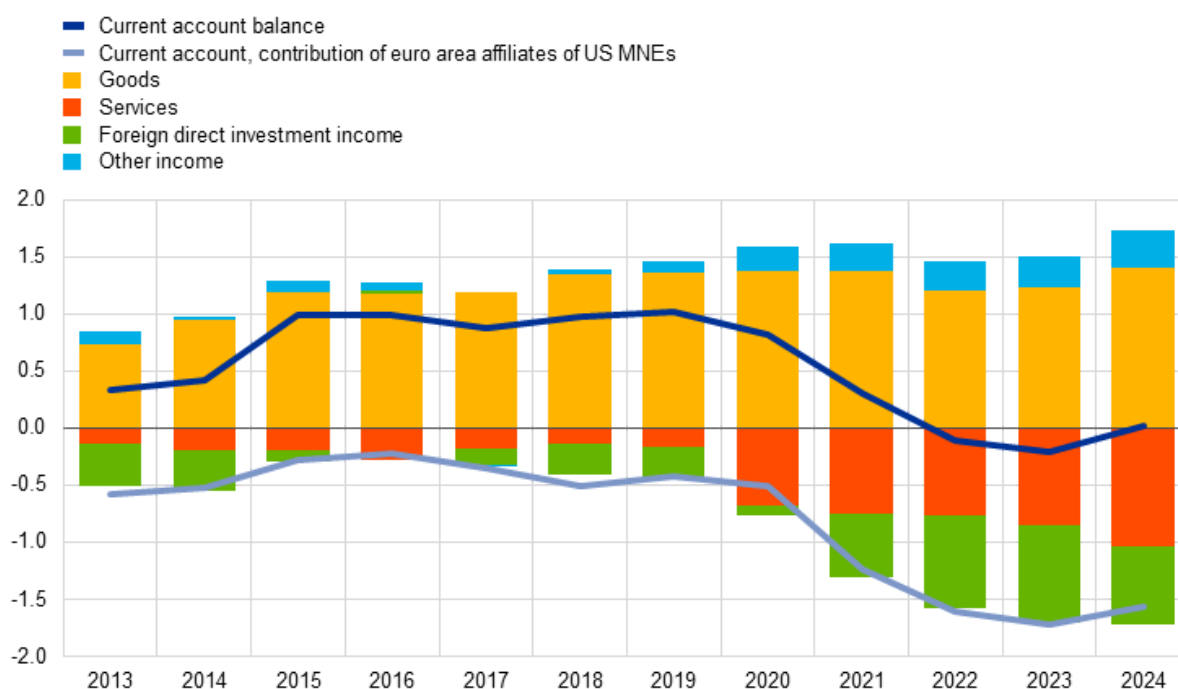
The dynamics of the euro area bilateral current account with the United States also reflect the activity of US MNE affiliates in the euro area. The euro area current account with the United States

was nearly balanced in 2024, as the increasing surplus in goods trade was almost entirely offset by deficits in services trade and foreign direct investment income, with US MNEs contributing significantly to these components (Chart B). ECB estimates suggest that almost 30% of the euro area goods surplus with the United States in 2024 involved trade by euro area affiliates of US MNEs, while these companies accounted for around 90% of the euro area deficit in services trade.

Chart B

Euro area current account balance vis-à-vis the United States

(annual flows as a percentage of GDP)



Sources: ECB, Eurostat and ECB staff calculations.

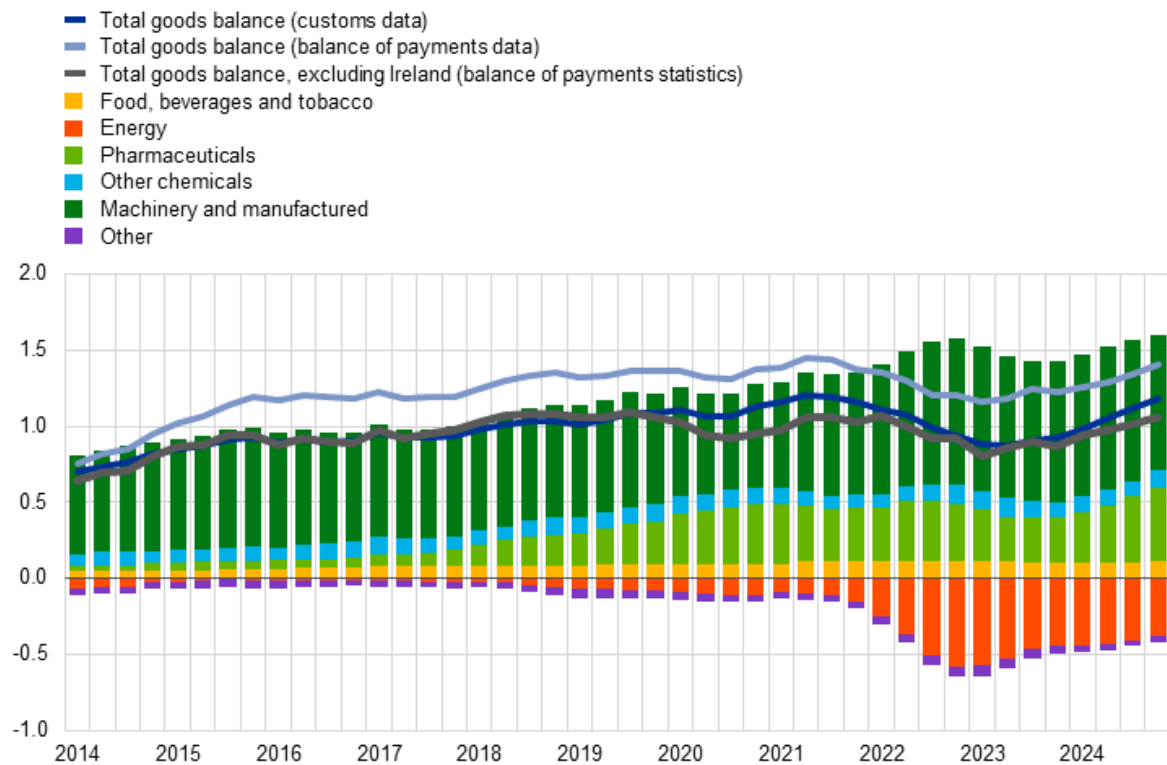
Notes: The contributions by euro area affiliates of US MNEs are estimated by combining data on bilateral trade in goods and services and foreign direct investment income flows from the ECB's balance of payments statistics with information on trade by type of ownership (domestic and foreign-controlled) from Eurostat's goods and services trade by enterprise characteristics (TEC/STEC) datasets and information on the proportion of US-controlled affiliates' turnover and purchases of goods and services from Eurostat's FATS.

US MNEs shape euro area trade in goods with the United States via substantial intragroup trade, exports of pharmaceutical products and contract manufacturing.

The widening goods trade surplus vis-à-vis the United States is driven mostly by a pronounced increase in exports of pharmaceutical products (Chart C), which are mostly attributed to trade flows of Irish affiliates of US MNEs. Moreover, US MNEs resident in the euro area engage in contract manufacturing arrangements by contracting firms outside the euro area to produce goods that are sold in third countries (including the United States) without ever entering the euro area. These exports are recoded in the balance of payments statistics, driving up the goods surplus.

Chart C**Euro area goods trade balance vis-à-vis the United States**

(four-quarter moving sums as a percentage of GDP)



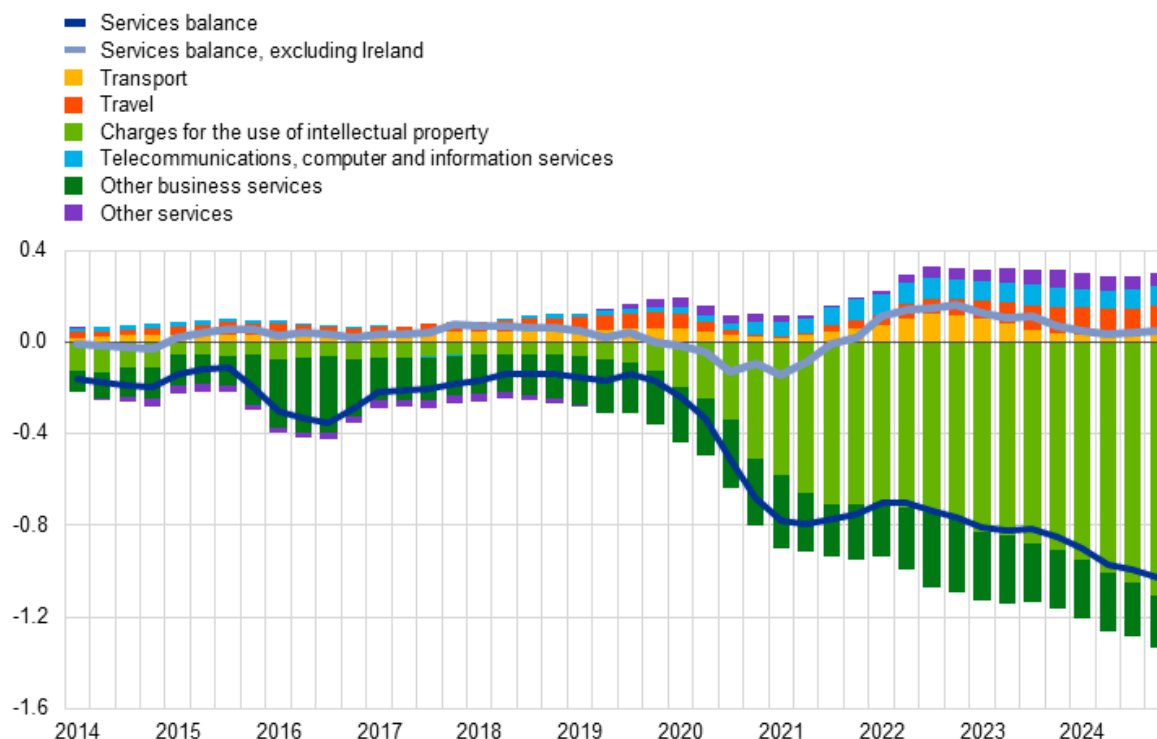
Sources: ECB, Eurostat and ECB staff calculations.

Notes: The latest observations are for the fourth quarter of 2024. The decomposition of the goods trade balance by product category follows the Standard International Trade Classification, Revision 3, in trade in goods statistics.

Chart D

Euro area services trade balance vis-à-vis the United States

(four-quarter moving sums as a percentage of GDP)



Sources: ECB, Eurostat and ECB calculations.

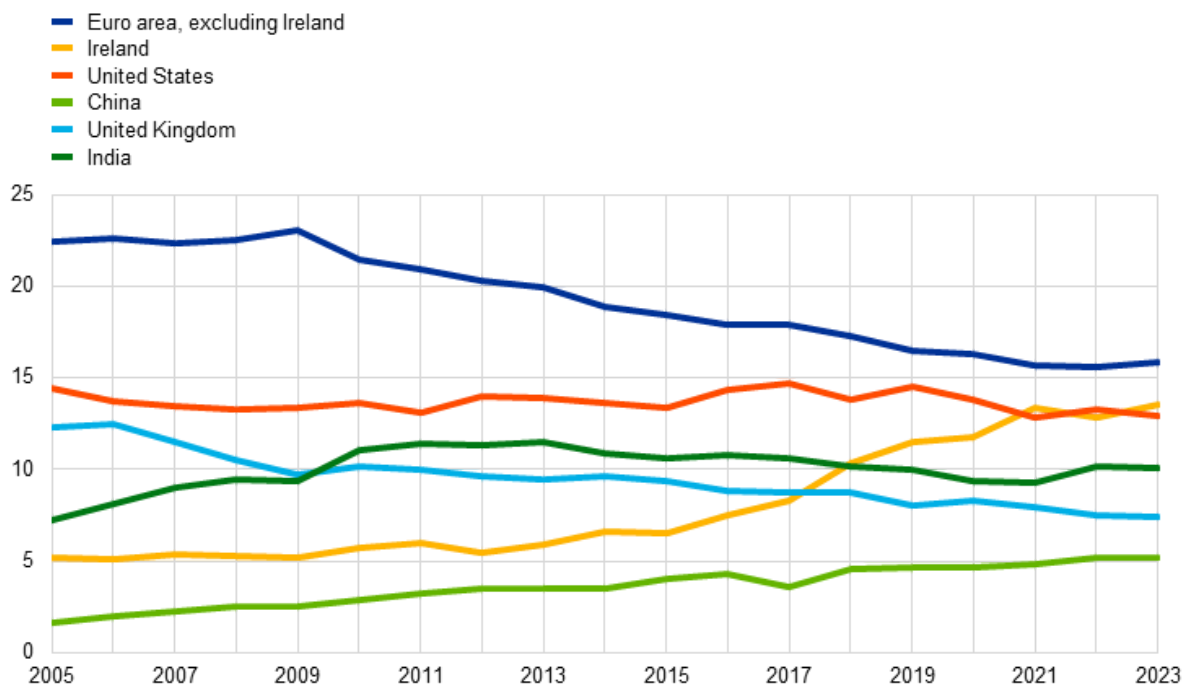
Note: The latest observations are for the fourth quarter of 2024.

Production linked to US MNEs in the euro area is closely connected to corresponding services imports, reflecting their supply chains and tax optimisation strategies. US MNEs use imported intellectual property products (IPPs) as central inputs in their euro area production activities. Since 2020 the euro area has recorded increasingly high values of services imported from the United States. These are driven by IPP usage charges linked to US MNE affiliates in the euro area, mainly in Ireland (Chart D).^[3] Apart from supporting the production of high value-added goods – for example medicines – these IPP imports are also used to produce information and communications technology (ICT) services. This means that the presence of US MNEs in the euro area also increases euro area services exports, boosting the euro area's export market shares, particularly in ICT services, via Ireland which accounts for a comparable share to that of the United States of about 14% (Chart E). This particular configuration of supply chains, involving imports of IPP-related services, enables US MNEs to accrue substantial profits in the euro area and benefit from more favourable corporate taxation, which is mirrored in the euro area's substantial foreign direct investment income deficit vis-à-vis the United States (Chart B).^[4]

Chart E

Export market shares of information and communications technology services

(percentages)



Sources: OECD-WTO balanced trade in services dataset and ECB staff calculations.

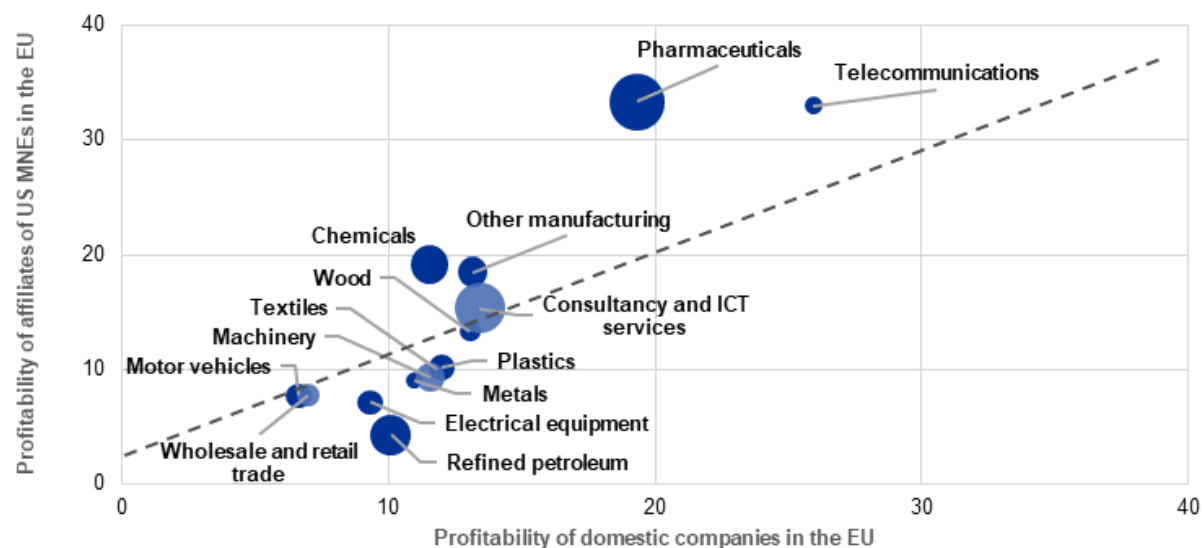
Notes: Figures for euro area countries consider only extra-euro area exports. The latest observations are for 2023.

Higher tariff barriers could affect the output and profits of US MNEs in the euro area, including in the pharmaceutical sector, depending on whether these enterprises adjust prices or move production. Given that pharmaceutical exports from the euro area to the United States are strongly linked to supply chain and tax optimisation strategies of US MNEs, these trade flows are vulnerable to relocation risks. While the high profitability of their subsidiaries (Chart F) may allow US MNEs to partially absorb additional US tariffs, these could render their business model less attractive, especially if accompanied by changes in US taxation and regulatory regimes incentivising onshoring of production to the United States.^[5] US trade policies could also indirectly affect US MNE affiliates in the euro area if these are subjected to EU retaliatory measures.

Chart F

Sectoral profitability for affiliates of US multinational enterprises in the EU

(ratio of gross operating surplus over net turnover)



Sources: Eurostat FATS and ECB staff calculations.

Notes: Data refer to available information for the years 2021-22. Profitability is calculated as a ratio of gross operating surplus to net turnover. A data point above (below) the 45-degree line indicates that, for that specific sector, affiliates of US MNEs show a higher (lower) profitability than domestic companies. The size of the bubble shows the relevance, in terms of turnover, of US MNE affiliates for each sector (calculated as the proportion of net turnover from affiliates of US MNEs compared with those of domestic companies).

A relocation of US MNEs' operations away from the euro area could result in lower euro area GDP via reduced production and exports, although gross national income (GNI) and employment would likely be less strongly affected. For cases where IPP ownership remains with the parent US MNE, the relocation of US MNE operations away from the euro area would reduce euro area GDP primarily through lost exports, which are only partly offset by lower IPP services imports. However, employment and, in particular, GNI would be less strongly affected as US MNE production is capital-intensive and highly reliant on imported IPPs, which generate large payments in the form of profits repatriated to the United States (Chart B). In cases where euro area affiliates of US MNEs own the IPP underpinning production and exports, their relocation to the United States would also negatively affect euro area GDP as a result of a mechanical depreciation effect.^[6] Over a longer period, productivity may suffer if the domestic economy is no longer gaining the positive spillovers from engagement with US MNEs.^[7]

1.

A multinational enterprise (MNE) is composed of a parent entity and its foreign affiliates. The latter are enterprises resident in one country that are controlled and/or owned by MNEs residing in another country.

2.

For additional information on the impact of US MNEs in Ireland, see Irish Economic Analysis Division, [“Geeoeconomic risks to the outlook: The possible impact of escalating trade tensions, alternative tariff and tax regimes on the Irish economy”](#), *Quarterly Bulletin*, Issue 4, Central Bank of Ireland, December 2024.

3.

Charges for the use of IPPs include royalties paid on patents, trademarks, copyrights, algorithms, etc.

4.

Recent corporate tax and regulatory reforms in the United States and Ireland prompted US MNEs to shift IPP ownership from offshore centres to the United States, increasing services payments and income flows between the euro area and the United States that were previously routed through offshore centres and outside the euro area-US current account. For additional details, see Boller, L., et al., [“The End of the Double Irish: Implications for US Multinationals and Global Tax Competition”](#), *Budget Model*, Penn Wharton University of Pennsylvania, October 2024.

5.

Operations of US pharmaceutical MNEs in the euro area could also be affect by Trump, D.J., [“Executive Order 14297—Delivering Most-Favored-Nation Prescription Drug Pricing to American Patients”](#), in Peters, G. and Woolley, J.T. (eds.), *The American Presidency Project*, University of California, Santa Barbara, May 2025, which directs US agencies to align Medicare drug prices with the lowest prices paid by comparable developed countries.

6.

The immediate effect of IPP imports on GDP tends to be largely offset by the corresponding investment (as the acquisition of IPPs is included in national accounts). In subsequent years, however, the depreciation of the acquired capital stock (consumption of fixed capital) adds to investment and thereby mechanically increases GDP. For more details, see Andersson, M., et al., [“Intangible assets of multinational enterprises in Ireland and their impact on euro area activity”](#), *Occasional Paper Series*, No 350, ECB, 2024.

7.

See Di Ubaldo, M., Lawless, M. and Siedschlag, I., [“Productivity spillovers from multinational activity to local firms in Ireland”](#), *OECD Productivity Working Papers*, Organisation for Economic Co-operation and Development, 30 November 2018.

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